Hostilities between the English and the Mughal emperor broke out in 1686 after the former had sacked Hugli and declared war on the emperor. But the English had seriously misjudged the situation and underestimated Mughal strength. The Mughal empire under Aurangzeb was even now more than a match for the petty forces of the East India Company. The war ended disastrously for them. They were driven out of their factories in Bengal and compelled to seek refuge in a fever-stricken island at the mouth of the Ganga. Their factories at Surat, Masulipatam, and Vishakhapatam were seized and their fort at Bombay besieged . Having discovered that they were not yet strong enough to fight the Mughal power, the English once again became humble petitioners and sumbitted "that the ill crimes they have done may be pardoned". They expressed their willingness to trade under the protection of the Indian rulers. Obviously, they had learnt their lesson. Once again they relied on flattery and humble entreaties to get trading concessions from the Mughal emperor.

The Mughal authorities readily pardoned the English folly as they had no means of knowing that these harmless-looking foreign traders would one day pose a serious threat to the country. Instead they recognised that foreign trade carried on by the Company benefited Indian artisans and merchants and thereby enriched the State treasury. Moreover, the English, though weak on land, were, because of their naval supremacy, capable of completely running Indian trade and shipping to Iran, West Asia, Northern and Eastern Africa and East Asia. Aurangzeb therefore permitted them to resume trade on payment of Rs 150,000 as compensation. In 1698, the Company acquired the zamindari of the three villages Sutanati, Kalikata, and Govindpur where it built Fort William around its factory. The villages soon grew into a city which came to be known as Calcutta. In 1717 the Company secured from Emperor Farrukh Siyar a *farman* confirming the privileges granted in 1691 and extending them to Gujarat and the Deccan. But during the first half of the eighteenth century Bengal was ruled by strong Nawabs such as Murshid Quli Khan and Alivardi Khan. They exercised strict control over the English traders and prevented them from misusing their privileges. Nor did they allow them to strengthen